

24STCV09965 24STCV09965

County: los-angeles

Division: Civil Law and Motion

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Case Number: 24STCV09965 Hearing Date: August 12, 2026 Dept: 1

Final

Approval of Class Action Settlement

Department SSC-1

Hon. Theresa M. Traber

Darren Cain v. Bellhops Moving, LLC

Case

No.: 24STCV09965

Hearing Date:

August 12, 2026

TENTATIVE RULING

The Court hereby GRANTS final approval and awards/approves the following:

(1) \$38,333.33 for attorney fees to Class Counsel, Haines Law Group, APC; (2) \$11,438.35 for attorney costs to Class Counsel; (3) enhancement payment of \$5,000 to the class representative, Darren Cain; (4) \$7,500 (75% of \$10,000 PAGA penalty) to the LWDA; and (5) \$3,000 for settlement administration costs to Phoenix Settlement Administrators.

The Court will set a non-appearance date of August 24, 2027 for review of a final report, which shall be filed by August 20, 2027.

BACKGROUND

Plaintiff

Darren Cain sued his former employer, Defendant Bellhops Moving, LLC, for alleged wage and hour violations. Defendant operates a residential and corporate moving service throughout California. Plaintiff seeks to represent a class of Defendant's current and former non-exempt employees.

On

April 19, 2024, Plaintiff filed the initial class action complaint against Defendant asserting causes of action for: (1) Failure To Pay All Overtime Wages (Labor Code §§ 204, 510, 558, 1194, 1198); (2) Minimum Wage Violations (Labor Code §§ 1182.12, 1194, 1194.2, and 1197); (3) Meal Period Violations (Labor Code §§ 226.7, 512, 558); (4) Rest Period Violations (Labor Code §§ 226.7, 516, 558); (5) Failure To Reimburse Necessary Business Expenditures (Labor Code §§ 2802, 2804); (6) Wage Statement Violations (Labor Code § 226, et seq.); (7) Waiting Time Penalties (Labor Code §§ 201-203); and (8) Unfair Competition (Bus & Prof Code § 17200, et seq.).

On

June 24, 2024, after exhausting his administrative remedies with the LWDA, Plaintiff filed the operative First Amended Complaint to add a ninth cause of action for civil penalties under PAGA, premised on the same underlying Labor Code violations.

On

January 23, 2025, the parties participated in a mediation session with Kevin Barnes, Esq., which ultimately resulted in settlement. The terms of settlement were finalized in the long-form Stipulation of Settlement ("Settlement Agreement"), a copy of which was filed with the Court on August 19, 2025.

On January

27, 2026, after the parties filed further briefing and a revised Class Notice to address concerns raised by the Court, preliminary approval of the settlement was granted.

Notice was given to

the Class Members as ordered (see Declaration of Kevin Lee ("Lee Decl.")). Now before the Court is the Motion for Final Approval of the Settlement.

SETTLEMENT

CLASS DEFINITION

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“Settlement Class” means: All current and former non-exempt employees who worked for Defendant in California between April 19, 2020 and the date of preliminary approval or May 3, 2025, whichever is earlier (the “Class Period”).

(¶1)

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“PAGA Aggrieved Employees” means: All current and former non-exempt employees who worked for Defendant in California between April 19, 2023 and the date of preliminary approval or May 3, 2025, whichever is earlier (the “PAGA Period”). (Id.)

TERMS

OF SETTLEMENT AGREEMENT

The essential terms are as follows:

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The Maximum

Settlement Amount is \$115,000, non-reversionary.

(¶13)

o Escalator Clause: Based on Defendant’s data, there are an estimated 1,334 aggregate workweeks worked by the approximately 109 Settlement Class Members at the time of mediation. If the actual number of aggregate workweeks worked by the Settlement Class Members exceeds this figure by more than 10% (i.e., if there are 1,468 or more aggregate workweeks worked by the Settlement Class Members), Defendant shall increase the Maximum Settlement Amount on a proportional basis (i.e., if the number of aggregate workweeks increases by 11%, the Maximum Settlement Amount will increase by 11%). (¶13.F)

o At final approval, the settlement administrator represents that Settlement Class Members worked a collective total of one thousand three hundred thirty (1,330) Workweeks during the Class Period. Since the total workweeks did not

exceed 1,467, the Escalator Clause was not triggered. (Lee Decl., ¶¶11-12.)

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The

Net Settlement Amount (“Net”) estimated at preliminary approval (\$43,666.67) is the Maximum Settlement Amount minus the following:

- o Up to \$38,333.33

- (33 1/3%) for

- attorney fees (¶3.C.4);

- o Up to \$15,000 for litigation costs (Ibid.);

- o Up to \$5,000 for an Enhancement

- Payment to the Named Plaintiff (¶3.C.3); and

- o Up to \$3,000 for settlement

- administration costs (¶3.C.2); and

- o Payment of \$10,000 PAGA penalty (75%

- or \$7,500 to the LWDA). (¶3.C.5)

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The

Maximum Settlement Amount does not include the employer’s share of payroll taxes, which shall be paid by Defendant separate and apart from, and in addition to, the Maximum Settlement Amount. (¶3.E)

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There

is no claim form requirement. (¶4)

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Individual Settlement Payment Calculation: From the

Net Settlement Amount, the Settlement Administrator will calculate each

Settlement Class member’s Individual Settlement Payment based on the following formula: (¶4.B)

- o

- PAGA

Amount: The \$2,500.00 payable to the PAGA Aggrieved Employees as their 25% portion of the PAGA civil penalties shall be designated as the "PAGA Amount." Each PAGA Aggrieved Employee, regardless of whether they timely submit a Request for Exclusion, shall receive a portion of the PAGA Amount proportionate to the number of pay periods that he or she worked during the PAGA Period compared to the aggregate number of pay periods worked by all PAGA Aggrieved Employees during the PAGA Period.

(¶4.B.i)

o

Wage Statement Amount: Five percent (5%) of the Net Settlement Amount shall be designated as the "Wage Statement Amount." Each participating Settlement Class member who was employed by Defendant at any time between April 19, 2023 and the end of the Class Period, shall receive a portion of the Wage Statement Amount proportionate to the number of workweeks that he or she worked during the aforementioned time period, by multiplying the Wage Statement Amount by a fraction, the numerator of which is the Settlement Class member's total workweeks worked during the aforementioned time period, and the denominator of which is the aggregate number of workweeks worked by all participating Settlement Class members during the aforementioned time period.

(¶4.B.ii)

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Waiting Time Amount: Twenty-Five percent (25%) of the Net Settlement Amount shall be designated as the "Waiting Time Amount." The Waiting Time Amount shall be distributed in equal, pro-rata shares to each participating Settlement Class member who separated their employment from Defendant at any time between April 19, 2021 and the end of the Class Period.

(¶4.B.iii)

o

The remainder of the Net Settlement Amount will be distributed to each participating Settlement Class member based on their proportionate number of workweeks worked during the Class Period, by multiplying the remaining Net Settlement Amount by a fraction, the numerator of which is the Settlement Class member's total workweeks worked during the Class Period, and the denominator of which is the total number of workweeks worked by all participating Settlement Class members during the Class Period. (¶4.B.iv)

o Tax Allocation: Each Individual Settlement Payment shall be

allocated as 20% wages (subject to applicable withholdings), and 80% as penalties and interest (not subject to withholdings). The portion of the PAGA Amount payable to the PAGA Aggrieved Employees shall be allocated as 100% penalties. (§4.D)

.
Response Deadline: Any Settlement

Class member who wishes to opt-out of the Settlement must complete and mail a Request for Exclusion to the Settlement Administrator within sixty (60) calendar days of the date of the initial mailing of the Notice Packets (the "Response Deadline"). (§9.D) The same deadline applies to the submission of written objections (§9.E) and payment disputes (§9.F). Settlement Class members to whom Notice Packets are re-mailed after having been returned as undeliverable to the Settlement Administrator shall have an additional fourteen (14) calendar days after the Response Deadline to opt-out, object, or dispute their Individual Settlement Payment. (§9.C)

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Funding

of Settlement: The Maximum Settlement Amount shall be paid by Defendant as follows: two-thirds (2/3) of the Maximum Settlement Amount (i.e., Seventy-Six Thousand Six Hundred Sixty-Six Dollars and Sixty-Eight Cents (\$76,666.68)) shall be paid within thirty (30) calendar days after the Effective Date, and thereafter four (4) equal monthly installment payments of Nine Thousand Five Hundred Eighty-Three Dollars and Thirty-Three Cents (\$9,583.33) each shall be paid each 30 days after the first payment. The installment payments shall be deposited with the Settlement Administrator and held in an established, interest-bearing Qualified Settlement Fund ("QSF"). (§13.B)

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Disbursement:

Within ten (10) business days following the full funding of the Maximum Settlement Amount with the Settlement Administrator, the Settlement Administrator will calculate each Settlement Class member's Individual Settlement Payment, and will prepare and mail the Individual Settlement Payments to the participating Settlement Class members. (§4.C)

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Uncashed Settlement Checks: Each member of the

Settlement Class who receives an Individual Settlement Payment must cash that check within one hundred eighty (180) days from the date the Settlement Administrator mails it. Any check that is not negotiated within 180 days of mailing to a Settlement Class member shall be transferred to the California State Controller's Office to be held pursuant to the Unclaimed Property Law, California Civil Code § 1500 et seq., in the name of the Settlement Class member to whom the check was issued, until such time that they claim their property. The Parties agree that this disposition results in no "unpaid residue" within the meaning of California Code of Civil Procedure Section 384. (¶4.E)

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The
settlement administrator will be Phoenix Class Action Administration Solutions. (¶3.A)

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The proposed settlement was
submitted to the LWDA on August 19, 2025. (Moen Decl. ISO Prelim, Exhibit 4.)

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Release by Settlement Class Members and Plaintiff. Plaintiff and each Settlement Class member who does not timely opt-out of the settlement, will fully and finally release and discharge Defendant and all of its present and former parent companies, commonly owned or controlled affiliates, subsidiaries, divisions, related or affiliated companies, shareholders, officers, directors, employees, agents, attorney, insurers, successors and assigns (the "Released Parties") as follows: (¶12)

o Upon the full funding
of the Maximum Settlement Amount, all Settlement Class members who do not timely opt out shall fully and finally release and discharge the Released Parties from liability for all claims based on the factual allegations set forth in the operative complaint in the Action, or which could have been pled in the operative complaint in the Action based on the factual allegations therein, including but not limited to claims for minimum wage violations, overtime wage violations, meal period violations, rest period violations, violations of Labor Code sections 2802 and 2804, waiting time penalties, wage statement violations, and violations of the California Business and Professions Code section 17200, et seq., that arose during the Class Period ("Released

Claims"). This release shall run from April 19, 2020 through the close of the Class Period. (¶2.A)

o PAGA Release: It is understood and acknowledged that all PAGA Aggrieved Employees will be issued a check for their share of the PAGA payment, regardless of whether they validly opt-out of the class-action portion of the Settlement. Upon the full funding of the Maximum Settlement Amount, all PAGA Aggrieved Employees and the State of California shall be deemed to have released and discharged Defendant from all claims for PAGA penalties that were alleged, or reasonably could have been alleged, in the operative complaint in the Action or Plaintiff's April 19, 2024 PAGA Notice to the LWDA, that arose during the PAGA Period (the "PAGA Released Claims"). This release shall run from April 19, 2023 through the close of the PAGA Period. (¶2.B)

§ All PAGA Aggrieved

Employees shall receive their share of the PAGA Amount and will be deemed to have released the PAGA Released Claims, regardless of whether or not they timely request to be excluded from the Settlement Class. (¶9.D.iii)

o Nothing contained herein shall constitute a release of any rights or claims that cannot be waived as a matter of law (including but not limited to claims arising under workers' compensation laws). Nor shall anything contained herein be construed to exclude the filing of an administrative charge or complaint with the Equal Employment Opportunity Commission or National Labor Relations Board, or participation in an administrative investigation or proceeding. (¶2.D)

o The Settlement shall become effective on the date upon which the Court signs an Order granting final approval of the Settlement Agreement ("Effective Date"). (¶2.E)

o
Named Plaintiff will also provide a general release and CC § 1542 waiver. (¶2.C)

ANALYSIS OF SETTLEMENT AGREEMENT

A.

Does a presumption of fairness exist?

The Court preliminarily found in its Order of January 27, 2026 that the presumption of fairness should be applied. No facts have come to the Court's attention that would alter that preliminary conclusion.

Accordingly, the settlement is entitled to a presumption of fairness as set forth in the preliminary approval order.

B.

Is the settlement fair, adequate, and reasonable?

The settlement was preliminarily found to be fair, adequate and reasonable. Notice has now been given to the Class and the LWDA.

Reaction of the class members to the proposed settlement.

Number of class members: 109 (Lee Decl., ¶3.)

Number of notice packets mailed: 109 (Id. at ¶5.)

Number of undeliverable notices: 0 (Id. at ¶7.)

Number of opt-outs: 0 (Id. at ¶8.)

Number of objections: 0 (Id. at ¶9.)

Number of participating class members: 109 (Id. at ¶11.)

Average individual payment: \$433.29 (Id. at ¶14.)

Highest individual payment: \$2,942.02 (Ibid.)

The

Court finds that the notice was given as directed and conforms to due process requirements. Given the reactions of the Class Members and the LWDA to the proposed settlement and for the reasons set forth in the Preliminary Approval order, the settlement is found to be fair, adequate, and reasonable.

C. Attorney Fees and Costs

Class

Counsel requests an award of \$38,333.33 in fees and \$11,438.35 in costs. (Memo ISO Final at 3:24-25.) The Settlement Agreement provides for up to \$38,333.33 (33 1/3%) in fees and \$15,000 in costs (¶3.C.4).

“Courts

recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method.” (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 254.) Here, class counsel request attorney fees using the percentage method, as crosschecked by lodestar. (Memo ISO Final at pp. 11-15.)

In

common fund cases, the Court may employ a percentage of the benefit method, as cross-checked against the lodestar. (Laffitte v. Robert Half Int’l, Inc. (2016) 1 Cal.5th 480, 503.) The fee request represents one-third of the gross settlement amount, which is the average generally awarded in class actions. (See In re Consumer Privacy Cases (2009) 175 Cal.App.4th 545, 558, fn. 13 [“Empirical studies show that, regardless whether the percentage method or the lodestar method is used, fee awards in class actions average around one-third of the recovery.”].)

Class Counsel has provided information, summarized below, from which the lodestar may be calculated:

Attorneys

Rates

Hours

Totals

Paul K. Haines

\$975

12.8

\$12,480.00

Fletcher W. Schmidt

\$875

19

\$16,625.00

Matthew K. Moen

\$775

44.9

\$34,797.50

Aden M. Khachadorian

\$500

37.5

\$18,750.00

Firm Paralegals

\$250

6.6

\$1,650.00

Totals

\$84,302.50

(Declaration of Matthew K. Moen ISO Final, ¶25.)

Counsel's percentage-based fee request is lower than the unadjusted lodestar, and would represent application of a multiplier of approximately 0.45x.

Here, the fee request represents a reasonable percentage of the total funds paid by Defendant. Notice of the fee request was provided to class members in the notice packet and no one objected. (Lee Decl., ¶12, Exhibit A.)

As for costs, Class Counsel is requesting a cost amount of \$11,438.35. This is less than the \$15,000 cap estimated at preliminary approval, which was not objected to. (Lee Decl., ¶12, Exhibit A.) Counsel represents that their costs include but are not limited to: filing and service fees, copying and postage, and mediation fee. (Moen Decl. ISO Final, ¶28, Exhibit 3.) The costs appear to be reasonable in amounts and reasonably necessary for this litigation.

Based on the above, the recommendation is to award \$38,333.33 in fees and \$11,438.35 in costs.

D. Incentive Award

The class representative, Darren Cain, seeks an enhancement payment of \$5,000 for his contributions to the action. (Memo ISO Final at 16:10-11.)

In connection with the final fairness hearing, named Plaintiffs must submit declarations attesting to why they should be entitled to an enhancement award in the proposed amount. The named Plaintiffs must explain why they "should be compensated for the expense or risk he has incurred in conferring a benefit on other members of the class." (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.) Trial courts should not sanction enhancement awards of thousands of dollars with "nothing more than pro forma claims as to 'countless' hours expended, 'potential stigma' and 'potential risk.' Significantly more specificity, in the form of quantification of time and

effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order for the trial court to conclude that an enhancement was 'necessary to induce [the named plaintiff] to participate in the suit'" (Id. at 806-807, italics and ellipsis in original.)

Plaintiff represents that his contributions to this litigation include: searching for documents for use in the lawsuit, providing information and documents to his attorneys, having calls with them to discuss his claims and Defendant's practices, discussing the case status and strategy, assisting his attorneys in preparing for mediation, and reviewing the settlement. He estimates spending 15-20 hours on the case. (Declaration of Darren Cain ISO Final, ¶¶4-9.)

Based on the above, as well as the benefits obtained on behalf of the class, the recommendation is to grant the enhancement payment in the amount of \$5,000 to Plaintiff.

E.

Settlement Administration Costs

The settlement administrator, Phoenix, is requesting \$3,000 for the costs of settlement administration. (Lee Decl., ¶17.) This equals the estimate of \$3,000 provided for in the Settlement Agreement (¶3.C.2) and disclosed to class members in the Notice, to which there were no objections. (Lee Decl., ¶12, Exhibit A.) Based on the above, the recommendation is to award costs in the requested amount of \$3,000.